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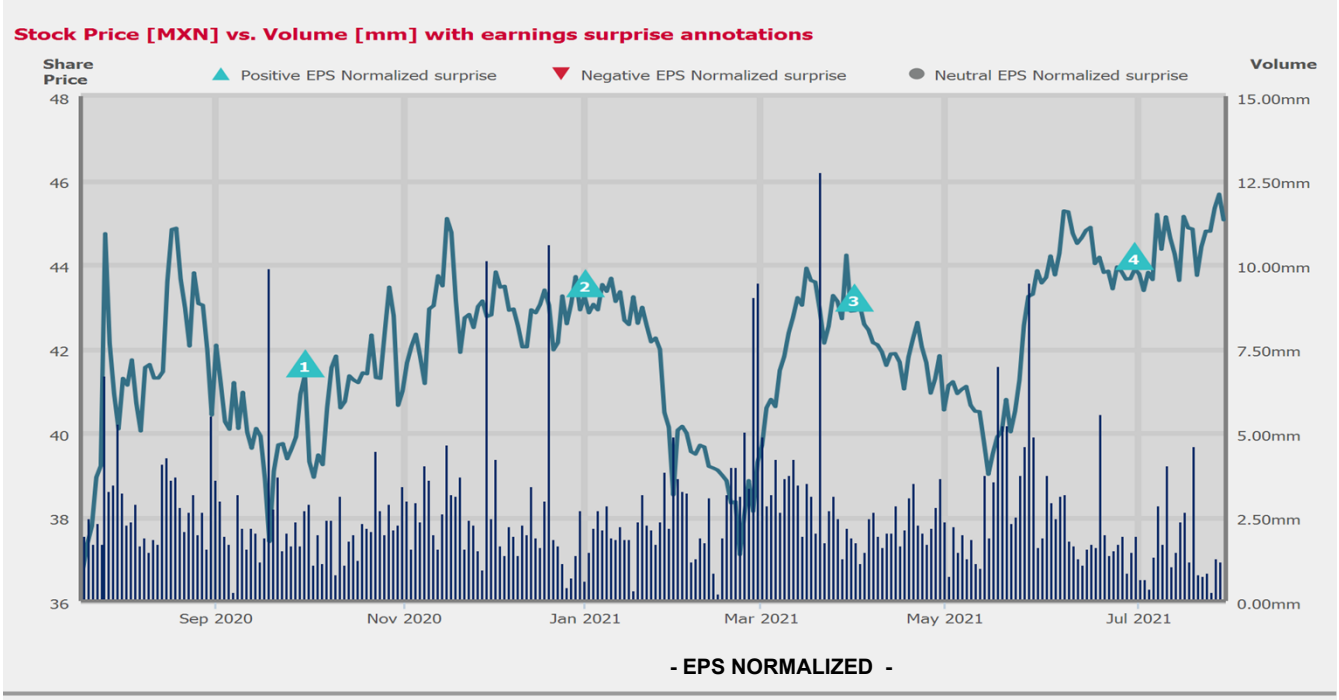
Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A FQ2 2021 Earnings Call Transcripts

Wednesday, July 28, 2021 10:00 PM GMT

S&P Global Market Intelligence Estimates

	-FQ2 2021-			-FQ3 2021-	-FY 2021-		-FY 2022-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	GUIDANCE	CONSENSUS
EPS Normalized	0.55	0.70	27.27	0.70	2.85	NA	NA
Revenue (mm)	79210.50	83789.00	5.78	80594.00	336061.37	NA	NA

Currency: MXN
Consensus as of Jul-29-2021 11:16 AM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ3 2020	0.52	0.79	1 51.92 %
FQ4 2020	0.54	0.64	2 18.52 %
FQ1 2021	0.45	0.90	3 100.00 %
FQ2 2021	0.55	0.70	4 27.27 %

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Presentation

Operator

Good evening, everyone, and welcome to Grupo Bimbo's Second Quarter Results Conference Call. If you need a copy of the press release issued earlier today, it is available on the company's website at www.grupobimbo.com/en/investors/quarterly-reports.

Before we begin, I would like to remind you that this call is being recorded and that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you very much, and good afternoon, everyone. Thank you for joining us. On behalf of Grupo Bimbo, I hope that you and your families are healthy and staying safe. Connected on the line today is our CFO, Diego Gaxiola; our BBU President, Fred Penny; and several members of our finance team.

I am more than proud that our teams reached record profits for a second quarter and net sales growth of 6.6%, excluding FX effect. We continue to see strong demand and extraordinary run rates in our core business. We held and grew market share across our key categories, realized the volume growth in multiple categories, mainly snacks, confectionery, buns and rolls and pastries, among others.

And we experienced a recovery of those channels and categories that suffered during the pandemic. As we move forward, we will continue investing in our associates, our brands in the entire value chain in our sustainability strategy and in our digital transformation projects to achieve our vision.

On the sustainability side, with very pleasure, I have to announce that our operations in Chile and Panama started to use 100% renewable electricity. With this, 90% of the electricity that we consume from our 2017 baseline, comes from renewable sources. And more than half of all our businesses use 100% renewable electricity. I would like to highlight that we are cycling difficult comparisons, driven by the pandemic-induced buying, which occurred in some of our geographies starting in March of last year. Our run rates are demonstrating strong performance versus 2019, with sales growing at 16.2% and adjusted EBITDA growing nearly 37%.

Looking ahead, we are facing a significantly higher inflationary environment. And more specifically, we are seeing increases in commodities, freight and labor costs, and we have been taking actions to cover these cost increases across our different geographies, and we will continue with these same strategy during the rest of the year.

Now looking at the regional results of the second quarter, despite difficult comparisons, as we lapped the COVID-19 surge of 2020, our North American business had a great quarter. Net sales grew 0.9% in dollar terms. In peso terms, sales declined 13.5%. The branded business performed very well during the quarter, led by sweet baked goods, buns and rolls and snacks. Our front-line execution was strong, and we continue to manage trade promotions prudently to maximize return on investment.

Our top line run rate when compared to pre-pandemic levels were very strong. The strength was driven by consumer demand, increased household penetration and the investments we have made and continue to make in our main brands. The private label run rate has remained soft, while food service is beginning to rebound as schools and restaurants manage reopenings.

Our adjusted EBITDA margin reached a record level for our second quarter at 13.3%, reflecting the favorable branded mix, trade efficiency and productivity benefits from past investments, which were partially offset by increased strategic investments in our brands. We are cautiously optimistic going forward as we begin to see post-pandemic trends evolve.

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We are confident that despite the inflationary headwinds we are facing, our brands will continue to resonate with consumers and the breadth of our portfolio position us well for the future.

In Mexico, sales rose 14.7%, attributable to volume growth, favorable product mix and price increases. Most categories and channels grew, driven mainly by the buns, sweet baked goods, bread bars and snack categories as well as in the traditional channel. We have started to see a gradual recovery of the convenience, institutional, food service and vending channels, while the supermarket and traditional channels continue to post strong results.

Adjusted EBITDA margin expanded 210 basis points as a reflection of the strong sales performance and distribution optimization initiatives, such as the implementation of digital solutions across the supply chain. In LATAM, the 1.7% sales decline in pesos was mostly attributable to the FX rates translation effect. If we exclude the FX effect, sales increased almost 13%, driven by growth in almost every country, especially double-digit sales growth in Chile, Peru and Paraguay, and encouraging results in Brazil, despite challenging conditions and tough comparisons.

This was offset by the social unrest in Colombia, which had a big impact in our results in May, but have recovered in June and a fire incident in a plant in Argentina, which had to be closed. These effects, coupled with extraordinary expenses related to the turnaround project in Brazil, which have been progressing well, and we are seeing improved profitability as these initiatives kick in, put pressure on the adjusted EBITDA margin, which contracted by 50 basis points.

Going forward, we remain optimistic given the continued development of our core categories across the region, investments in our brands, in our CapEx, productivity initiatives, market penetration opportunities and the increase in our distribution footprint across the 15 countries to accelerate profitable growth.

Finally, moving on to EAA. During the quarter, we received the final authorization to acquire Cerealto Siro Foods in Medina del Campo, Spain. This state-of-the-art plant is dedicated to manufacture sweet baked goods for Mercadona and other customers, and it allows us to enter the sweet baked goods private label market in Spain. Sales during the second quarter in EAA increased 13.2% as a result of the benefits from the strategic acquisitions of Paterna and Medina in Spain, good organic growth in the U.K. and a recovery of Bimbo QSR throughout the region. The adjusted EBITDA margin expansion of 110 basis points resulted from strong operating performance in the QSR business as it is recovering from the depths of the pandemic and also because of the acquisitions we made in Iberia.

I would like now to turn over the call to Diego, who will walk you through our financials. Please, Diego, go ahead.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Thank you, Daniel. Good afternoon, everyone, and thank you for joining us today. I would like to start with a summary of our financial results, which were outstanding. Despite tough comparisons, we achieved sales growth on a constant currency basis, record levels of operating profit and adjusted EBITDA for second quarter and a 280 basis point expansion on our return on equity. We continue to benefit from being a diversified company as we see a strong run rate versus 2019 in our core business and our recovery of the channels and categories that were under pressure during the beginning of the pandemic.

Moreover, we have achieved substantial and sustainable productivity savings coming from capital and restructuring investments we have made in the past, which enable distribution efficiencies, automation improvements, integrated system solutions. And additionally, we have lower COVID-related expenses. This contributed to us reaching a record adjusted EBITDA and an EBITDA margin for the second quarter at 14.4%.

Our financing costs remain almost unchanged, and our cumulative effective tax rate stood at 36%, which continued to reflect a benefit of our turnaround businesses that has been performing substantially better than the previous years. As a result, the net effect of these factors yielded an improvement in net majority income of 18.6% and a margin expansion of 70 basis points to 3.7%.

Turning to the balance sheet. Many of you will recall that we recently issued $600 million at a rate of 4%, the proceeds of which were used to pay for the revolving credit facility, which was used to redeem a portion of our 2022 notes. Our strong diversification and increased penetration in developed markets largely contributed to attract the attention of close to 180 investors and to achieve an oversubscription of 6.5x evidencing our global profile within the food industry and affirming our commitment to expand our stakeholder base.

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This transaction was debt neutral, and this reinforces our long-term view while enhancing our financial profile by increasing the average maturity from 13 to almost 17 years and maintaining a healthy and flexible balance sheet. Also, given the strong cash flow generation, we closed the quarter with a net debt to adjusted EBITDA ratio of 1.8x.

Our net operating working capital, which mainly considers accounts receivables, inventories and suppliers has improved significantly by 4 days over the second quarter of 2020, which is equivalent to MXN 3.2 billion, mostly due to improvements in almost every caption. Our cumulative free cash flow before share buybacks totaled MXN 6.1 billion, from which we have returned nearly MXN 6.4 billion in dividends and the buyback program.

Due to the very strong results that we have been able to achieve as well as the positive trend that we continue to see across our regions, we are upgrading our guidance for 2021. As you might remember, we were expecting sales to be flat. Now we are expecting a low single-digit increase. In terms of adjusted EBITDA, we expected it to remain essentially flat, but now we expect it to close the year with a high single-digit growth, which means that even with the pressure of the tough comparison and the pressure that we have from commodities and labor, we are expecting margin expansion for the full year.

We reiterate our effective tax rate expectation to be in the range of mid- to high 30s and also our CapEx program in the same range between $900 million to $1 billion.

Finally, I would like to share with you that even taking into account the anticipated commodity price increases, we remain optimistic about 2022, and we will provide our guidance on the next conference call. Our results continue to be strong. Our teams are doing an extraordinary job, and our global diversification continues to pay off.
With this, we conclude our remarks, so please if we can proceed to the Q&A session.

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Question and Answer

Operator

[Operator Instructions] The first question comes from Benjamin Theurer of Barclays.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Well, first of all, Daniel and Diego congrats on the results. 2 quick ones. So first, you've just said you're going to give more details on the pricing action you're thinking about into 2022 in about 3 months' time. But maybe you can give us a little bit of preview in terms of what you're thinking on the magnitude of those price increases and across the different channels. So how do you think about retail versus foodservice as well as from a regional perspective, where do you think you have better opportunities to put pricing through? And where do you see more challenges to actually get pricing through? That would be my first question, set of questions.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Well, I mean, I'm sure that this is a question that it's in everybody's mind. And as we said last time, last quarter, we have been, I would say, very proactive on understanding the impacts that we will have or we had in our commodity costs and other inputs. And we have been able to address them in the different markets through different levers.

One, obviously, is pricing. And another lever is trade optimization or revenue growth management. And finally, in some cases also, we have complemented that with productivity initiatives. So, so far, I think that we've been able to get pricing in most of the businesses. And in the others, we are slated to have those price increases be in effect in the third quarter. And it obviously varies by country and by channel.

And I would say that in all cases, we're trying to make sure that we don't get a decline in our margins at the end of this process. And so far, we have been having a good response from consumers and customers all along the different channels and regions. So I mean, we're on the same path that we mentioned last time, we're proceeding with these actions among the 3 levers that I mentioned. And so far everything is working as we planned.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Okay. Perfect. And then one last question I had, and that's more of a strategic question for you. So you flagged it, and we know the history of Bimbo, once leverage comes down, you tend to be very open for major M&A transactions and looking beyond what you have right now, I mean, you've been very active in the past now being somewhere below 2x net debt to adjusted EBITDA. How do you think currently about your existing portfolio?

Where do you think things are missing? Or where could you add on from a geographic and a segment perspective to kind of use the strength of your current balance sheet to keep growing the company as well through M&A and not only on the organic side?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, Yes, we also talked about this 1 or 2 conference calls ago. And what I have to say is that we have a very strong CapEx program for this year and next year. And that is mostly because we're facing capacity constraints, and we will be facing capacity constraints in different markets and categories. And that's, I would say, a great news. And this is the first use of our excess cash.

And we're always looking at the market and seeing if it makes sense to do an acquisition or any project that grows our business inorganically. I would say that we're always very attentive to the market, but we don't disclose any ideas beforehand. And what I have to say is that, as we mentioned in this quarter, we materialize those 2 acquisitions. And we have -- we continue to have ideas and work in that regard. Our -- I would say our focus right now is mostly nowadays on how can we grow organically. But we will always be open to whatever might be an opportunity for consolidating our businesses.

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Operator

The next question comes from the line of Alvaro Garcia of BTG.

Álvaro García
Banco BTG Pactual S.A., Research Division

And congrats on the results. 2 questions. The first one is for Fred. I would love to hear your thoughts on the consumer environment in the U.S., and this is really a question for both Mexico and the U.S. But on the U.S., just -- it's difficult to sort of piece apart how much is this first sort of proactive price increase that we've seen as you get ready for 2022? Or it's really just a very strong demand environment that's similar to what we saw last year, strong performance from branded. So if you could sort of piece that apart, that would be wonderful. And my second question is on Latin America. You mentioned in the release a restructuring in Brazil and sort of a turnaround plan there. I was wondering if you can give us an update as to exactly what that was all about.

Alfred Penny
President of Bimbo Bakeries USA

Yes, Alvaro, let me take your first question. It's a good one. Q2 has been an interesting quarter. If you think back to the fact that the first -- call it the first half of the quarter, we were cycling huge demand spikes from a year ago obviously when the pandemic first hit. What's been a very positive result for us has been that as we've gotten into the back half of Q2, we've seen fairly impressive run rates to a year ago, frankly surprising to me that we would have been able to run positive to a year ago.

But that's the way we've been running on tonnage, slightly positive. And given the huge demand of a year ago, that's a real positive development. I think relative to the question of pricing and inflation, it's a big one. Daniel hit it. We are going to take a price increase from a, call it, a North America standpoint in Q3 because we need to. We have to combine that with, again, to Daniel's point, work -- significant work on revenue growth management to optimize our trade spend, and quite frankly, really significant work on productivity because we don't know where the inflation is going to head.

But I would say, generally, we feel pretty positive about what we're seeing from a consumer standpoint relative to consumption. There's an open question as to how that changes as back-to-school hits, et cetera, we'll have to see. But I think generally, I would say, so far for most of our categories, the trends have been fairly positive.

Álvaro García
Banco BTG Pactual S.A., Research Division

That's super helpful. And just a second question on Brazil. And the...

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Alvaro, this is basically a restructuring we had to do on our distribution work on the primary distribution and on the secondary distribution levers, and it was significant, but it allow us now to have more streamlined business and one that is now poised for growth. So we -- basically, we had to redo our distribution structure there.

Operator

The next question comes from the line of Ricardo Alves with Morgan Stanley.

Ricardo L. Alves
Morgan Stanley, Research Division

Remarkable numbers. A couple of questions, if I may. On the U.S. margin, I mean, can you talk a little bit about the mix shift in the U.S., the product mix? Maybe this one for Fred and how that's affecting your margin in North America? I mean, the 13% number, quite impressive, and we appreciate everything that you're doing. But the fact that sweet snacks, other categories of such higher margins performing so well, I mean, how important of a factor is that when it comes to being a margin booster?

And then the second question is kind of related, maybe for Fred or maybe for Diego. Any details at this point you could share already into 2022? I appreciate that the guidance is going to come later this year, but maybe at least qualitatively

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speaking, when you look at everything that you've achieved in terms of SG&A savings, for example, I mean are these here to stay? And then we -- could we be thinking about the U.S. running at low teens, perhaps mid-teens margins in the long run? Appreciate the time.

Alfred Penny
President of Bimbo Bakeries USA

Ricardo, I'm going to take a shot at the first part of your question, and I'll turn it over to Diego and Daniel, on the tougher part of your question about forward going margins. But I would say we've definitely benefited from the shift we saw through COVID to more branded in terms of our portfolio mix as opposed to non-branded food service, et cetera. That's beginning to shift a little bit back as food service recovers.

But clearly, the fact that we've got a number of brands in our -- more premium brands in our portfolio has benefited us. And we've continued to see that in the latter half of Q2, to my earlier point. So hopefully, we're going to see that continue, but that's driving a portion of our margin improvement. The other piece of it I think is important to understand that we've been making investments over the years in becoming a more productive company, and I think we're seeing -- we're starting to reap the benefits of some of that productivity work, that capital investment to get to a lower cost base. So I think it's a combination of the 2. But obviously, we prefer to see the trend on our branded business continue.

Diego Gaxiola Cuevas
Group Chief Financial Officer

This is Diego. Ricardo, regarding your question of the '22 -- 2022 guidance, I would say that based on the strong trend that we have been seeing across the different markets in which we operate, we already talked about pricing strategy, the productivity initiatives. I would say that we feel optimistic about 2022, although, as I mentioned, we will provide detailed guidance in the next conference call.

Operator

The next question comes from the line of Lucas Ferreira of JPMorgan.

Lucas Ferreira
JPMorgan Chase & Co, Research Division

2 questions for me. The first one, if you can give us a bit more details on the -- or average magnitude of this price hikes you're expecting to see in the U.S. in the third quarter? And when do you guys see considering your hedge strategy, considering inflation of services and labor, when do you expect to see costs peaking for you? Is this somewhere already late this year or beginning of next year?

And the other question is just a clarification. Why your tax rate was so low this quarter? I see your guidance. But just wanted to understand what drove the tax rate that low, specifically in 2Q?

Alfred Penny
President of Bimbo Bakeries USA

Diego, you're turning this one over to me? Or are you going to...

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes, no problem. If you can take the first part, that would be...

Alfred Penny
President of Bimbo Bakeries USA

Yes, I don't think -- we're not -- I don't want to be specific about the percentage of our price increase. This is a complicated issue, quite frankly. We're in an environment where the inflation, at least from my perspective, and my time in the industry, I can't recall an environment like this where commodities, labor, et cetera, are as volatile as they are.

So we're making our best effort to address the inflation pressures. To my earlier point, we're going to -- we will be putting pricing into the market in the third quarter. But we've got to work across the entire spectrum of options to deal with the

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inflation pressure. And that gets to trade optimization. It gets to productivity and cost-cutting, et cetera. But it's pretty volatile right now.

And I would tell you that certainly, if you're -- this wouldn't be news to anyone on the call, there's not much you can look at right now whether it's a commodity, whether it's labor, whether it's transportation, et cetera, where there isn't a lot of volatility and pricing pressure. So I'm confident that we're dealing with that head-on, and we're going to manage it. But it is volatile, and we'll have to see where 2022 comes out. But I guess my take on it is that I'm confident that the organization is focused on managing it as effectively as possible and pulling all the levers to deal with the pressures.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Perfect. Thank you, Fred. Hi Lucas, this is Diego. Let me answer the other 2 parts of the question. The first one regarding the expected impact in our cost of sales from the inflation, I would say, and we mentioned this before. We have most of the first half hedged where commodities were still not as high as they are today. So yes, we will start to face higher commodity prices in the second half of 2021.

Now also taking to account that in terms of the Mexico operations, we will start to have a relief from the exchange rate because the one that we have been facing during the first half, it's mostly what we hedged during the beginning of the pandemic. But if you remember, the peso went up to MXN 22, MXN 23, MXN 24, and that has been putting also a little bit of pressure in the first half. So not everything is going to be headwinds in the second half.

And of course, we already talked about the pricing strategy. And I mean, the productivity initiatives that will offset part of this inflation.

Regarding the tax rate, we have a 36% tax rate as of the end of the second quarter. You asked about the second quarter. I would say, take a look at the rate on an accumulated basis. It can be a little bit bumpy from one quarter to the other. And the reason for seeing a better tax rate, I would say, it's in line with our expectation, probably in the low range of the guidance. It's mainly because of the tax losing money operations have presented an important improvement.

We learned that we have a very conservative accounting approach by not creating deferred tax assets. So as long as we continue to see this tax loss operations being lower, our effective tax rate has been substantially better. It has continued to improve. Our expectation is that we're going to end the year around this number, probably slightly higher, but not far away from the 36%.

Operator

The next question is from the line of Felipe Ucros of Scotiabank.

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

I hope you guys are doing well, congrats on the results once again, and thanks for the space for questions. Most of my questions were taken, but let me ask this one on Latin America. When I started covering Bimbo, you guys were hovering around 0% to 2% EBITDA margins. That lasted from 2015 to 2019. And then from the beginning of last year, all the way up to now you're coming in closer to 5% to 6% range in that operation. So that's quite the recovery.

I'm wondering how much of this you attribute to the pandemic and how much you attribute to the restructuring that you've been executing in some of these countries, which started quite some time ago, and you've talked in the call about how some of the restructuring and efficiency and productivity efforts are starting to come through. Just wondering, what are the biggest changes that have contributed to the improvement? You talked a little bit about Brazil and distribution. Just wondering what else you've done in the region that it's performing so well?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Let me tell you that our business in LATAM, it's -- I mean, it's a combination of what is happening in 15 countries. And we don't have the sort of the same medicine in each of them. And the most important thing I would say is that many of our initiatives of many years are maturing and are rendering results. And many of our countries now have healthy margins and good structural position in the industry.

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In some other cases, we have to move ourselves from where we were because the country was facing -- or is facing a very difficult challenge, and that is happening in some of the countries, most important in market, as you could -- you know, like Argentina or Brazil or Colombia recently. But I would say that COVID helped us in some countries and in others, it hurt us. And now we're seeing some of these countries that were held back that are doing better this year. And others that were doing better last year that are now a little bit less active.

But all in all, I would say that we manage each country with a very specific analysis of what we have to do to have a long-term viable, sustainable and profitable entity. And we play along those rules. And sometimes it takes more time than what we envisioned or wanted to. But at the end of the day, the countries are maturing, and the businesses are getting into what's expected of them.

So I believe that this is sustainable and that we will see better years in the future. Even as you all know that LATAM is a very sort of change-oriented continent, and things are not settled for the long haul as they are in developed countries. So it's always a region of a lot of challenges and opportunities. But I believe that our DNA is poised for understanding this region and doing well here.

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

That's helpful, Daniel. And maybe thinking long term, maybe 10 years out, do you have an objective for margins where you think this segment can get to?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

I just want to say that I believe it's going to be better than it is right now, but not -- I won't point out a specific number.

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

Okay. Okay. Understand that. Congrats again on the results.

Operator

The next question comes from the line of Isabella Simonato of Bank of America.

Isabella Simonato
BofA Securities, Research Division

Most of my questions have been taken. But when we think about the guidance for this year, writing and the composition of top line and margins, is it possible to break down the top line growth between prices and volumes? And if you look at the second quarter specifically, what happened, like, in terms of volumes and prices? Any color you could give in that sense and in terms of regions too would be helpful.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes, Isabella, this is Diego. We do not disclose any specific numbers, either on volume or price increases, even for the quarter or for the guidance of the year.

Now let me just for -- although I'm not giving any specific color by region, what I can tell you is that we are seeing a positive trend in all the 4 regions in which we operate.

Operator

The next question comes from the line of Federico Galassi of PAAMCO.

Federico Galassi
PAAMCO Miren Limited

Congrats on the results. Just one question, maybe this is more related to Mexico. The growth was remarkable, and you mentioned volume, different channels and prices. How do you see with the inflation that we have in food in Mexico, the consumer, do you believe that they are capable to continue to increase prices, and they will take it?

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Diego Gaxiola Cuevas
Group Chief Financial Officer

Daniel, do you want to take it or should I?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Go ahead, Diego.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes, I would say, Federico, what we saw during the quarter, I mean, not just in the second quarter and also in the first quarter, it has been a strong environment in Mexico. I mean there are some easy comparisons, particularly with the channels that were affected because of the pandemic and some categories such as confectionery that was severely hit in the second quarter of 2020. So say, a small part of the growth has to do with these easy comps in the case of Mexico, but we're seeing a strong environment basically, in all different channels, all different categories.

So what we're seeing is that the consumer has been able to take the inflation impact, I mean, that has been in all different products. In general, inflation has gone up, but we're seeing a strong consumer environment in the country.

Operator

This concludes the question-and-answer session. At this time, I would like to turn the floor back to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, thank you very much for all your questions and time in this conference. And as always, we're open through our Investor Relations team to answer any questions you may have, and hope to have the chance to talk with you on the next quarter -- quarterly meeting. Thank you very much.

Operator
Thank you. This concludes today's presentation. You may disconnect your line at this time, and have a nice day.

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